

DISSENTING SEPARATE OPINION
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[*Translation.*]

I regret I am unable to agree either with the grounds or with the operative portion of the judgment which has just been given, and if I were asked to summarize the reasons for my attitude in a few propositions, I should say that it was based in the first place on the fact that the circumstances in which the final judgment was reached suggest that the Statute of the Court has not been strictly observed, secondly, on the fact that the Court has not fulfilled the task entrusted to it by the Special Agreement, and lastly, on the fact that, instead of announcing that, as the inevitable result of its inability to fulfil an important part of its task, the Court was incompetent in respect of the whole, the judgment leads, contrary to the intention of the authors of the Special Agreement, to making the position of France worse to-day than it was in 1919, that is to say, prior to the insertion in the Treaty of Versailles of the provision of Article 435, paragraph 2, the meaning of which is in this way distorted.

I.—However unusual the Special Agreement may appear at first sight, its structure is nevertheless quite simple. The cause of the difference between France and Switzerland was at once both a legal dispute and a disagreement over the best way to organize the economic and customs régime best suited to the special situation of Geneva and that of the adjacent territories which surround it. The Governments of the two countries intended to submit to the Court both problems simultaneously and on the same footing, without attaching more importance to one than to the other: the one referred to the first part of paragraph 2 of Article 435 and raised a question of law, viz., whether, in declaring that the organic provisions relating to the zones were no longer consistent with present conditions, that provision in the Treaty, together with its Annexes, had, as between France and Switzerland, abrogated or was at least intended to lead to the abrogation of the old provisions; the other referred

to the second part of that Article and was intended to ask the Court to settle, between France and Switzerland, under expedient conditions, the régime upon which the two countries had failed to agree.

The Special Agreement placed these two problems side by side and asked the Court, in the event of the Parties having failed to agree after the Court had communicated the results of its deliberation on the legal problem, to deliver a single judgment which would simultaneously resolve the question of interpretation and settle, for a period to be fixed by it and having regard to present conditions, all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles.

Thus, the Special Agreement emphasized the relation between the two problems and recommended that the same judges should decide, by means of a single judgment, both upon the interpretation of Article 435, paragraph 2, and upon its execution. However, this is not in fact what happened: of the twelve judges who took part in the deliberations of 1929 upon the interpretation of the text, four were absent from the second phase of the proceedings when the Court dealt with the settlement of the questions involved by the execution of Article 435, paragraph 2, of the Treaty, so that, the necessary quorum of nine not being available, recourse was had not simply to one judge to complete this quorum, but to four new judges who, although they did not take part in the first phase of the case, have nevertheless shared in the single final judgment which is intended to decide both the question argued and discussed in their absence in 1929 and the questions argued and discussed in their presence in 1930 and in 1932. Of course, these new judges have been invited to state their opinion of the solution given to the question in 1929 by the deliberations of their predecessors; and, after studying the written proceedings and reading the verbatim report of the oral arguments, three out of four of these new judges have declared that they concur in those deliberations. But how can one concur in deliberations in which one has taken no part? And is this method of participating in a judgment without having been present at all the hearings and without having participated in the discussion which determined the

opinion of the majority really in accordance with the combined provisions of Articles 13, 54 and 55 of the Court's Statute, for which the Court has to ensure respect, without regard for any declarations of the Parties? It has always appeared necessary in all jurisdictions—it is a principle of general application with which they may in no circumstances dispense—that, within the limit of the legal or regulation quorum, judges who are called upon to give a final decision shall have sat in the case from the beginning of the oral proceedings down to the pronouncement of that decision. Moreover, the Court itself, after departing from this rule and permitting the proceedings in the second phase of the dispute to be heard by a Court differently composed, subsequently emphasized the importance of this rule, when it decided—pursuant to the very Article 13 of its Statute—that, although six of its members had not been reelected, it was the old Court whose period of office came to an end on December 31st, 1930, which was to continue to try the Free Zones case until the final judgment contemplated by Article 2 of the Special Agreement had been given.

II.—In view of the foregoing, it goes without saying that I adhere fully to the considerations which led me to append to the Order of August 19th, 1929, a dissenting opinion on the question of the abrogation of the stipulations which created the free zones; I continue to think that Article 435, paragraph 2, of the Treaty of Versailles has abrogated the stipulations which established the zone of the District of Gex, and that it was intended to lead to the abrogation of those provisions which relate to the zones of Upper Savoy and Saint-Gingolph. I adhere also to the considerations which supported the joint dissenting opinion appended to the Order of December 6th, 1930, by six out of the then Court of twelve judges, and whose votes, which equalled in number those of the remaining judges, were only rendered inoperative by the casting vote of the President. There is no ground for the view that the organization of the Economic and Customs régime entrusted to the Court by Article 2 of the Special Agreement, in the second phase of the proceedings, was intended by the Parties to be subject to the prior solution

of the question of law concerning the abrogation of the old provisions. The preamble to the Special Agreement and the letters of October 30th, 1924, annexed thereto, show that the Parties in fact intended to conclude an Arbitration Agreement: that word itself appears in the text. In this last phase, the Court was therefore entrusted with the duties of an arbitrator; the Parties themselves had asked it to give a decision on the ground of pure expediency, and it was entirely free to organize the régime of the territories as it thought fit, by abolishing the zones if need be, should it consider their continued existence no longer consistent with present conditions.

III.—By entrusting the Court, in Article 2 of the Special Agreement, with a task aiming at the settlement, for a period to be determined and having regard to present conditions, of all the questions involved by the execution of Article 435, paragraph 2, of the Treaty of Versailles, the authors of this Special Agreement clearly showed that this strictly limited task was not to embrace any other questions, especially questions of law which are essentially of a definitive character and do not depend upon present conditions. Consequently, it is difficult to understand how the Court, with its jurisdiction so closely limited by the actual intention of the Parties, decided to examine if not to settle, in the operative part of its judgment, certain questions of pure law, especially that of the abrogation of the stipulations of 1815 and 1816, as the result of the Treaties of June 8th, 1851, and June 14th, 1881. Such questions are not among those involved by the execution of Article 435, paragraph 2, which is concerned only with the result of changed conditions and with the organization of a régime on lines of expediency. It is even questionable, notwithstanding what the Court may have said, whether the decision concerning the position of the customs cordon has its legal basis in Article 2 of the Special Agreement, the terms of which do not lend themselves to a wide interpretation.

There is however one problem which is at once one of law and one of expediency, and which must be solved in this second phase of the proceedings, viz., the problem con-

cerning the lapse of the old stipulations as a result of changed conditions. This question is very relevant to the execution of that part of Article 435, paragraph 2, which declares that these stipulations are no longer consistent with present conditions: in deciding it, regard must be had to these conditions and the Court rightly examined it, although it did not feel called upon to embody its decision upon it in the operative portion of its judgment.

In its Order of August 19th, 1929 (p. 16), the Court had already declared that facts antecedent to the Treaty of Versailles, and particularly the establishment of the Federal Customs in 1849, were clearly relevant in the case, in that they had led the Powers signatory to the Treaty of Versailles to declare solemnly, in Article 435, paragraph 2, that the stipulations concerning the free zones were no longer consistent with present conditions. This relevance having been affirmed in this way, it seemed—since there was no longer any question of estimating the abrogative effect of Article 435, paragraph 2, but of ensuring the execution of that Article—that logically, it was bound to lead to the result which it contemplated, viz. a decision that the stipulations had lapsed as a result of changed conditions.

With an inconsistency, which it is not for me to explain, the Court has decided otherwise; it has refused to give any practical effect whatever to this relevance, which nevertheless it described as clear. In fact, it has held that the change in conditions is no longer relevant since it is not such as to dispel the object for which the zones were created a hundred and fifteen years ago, nor such as to impede or change the nature of their function.

At the time when the zones were established, the reason put forward during the negotiations—this has not been seriously contested, and proof, if need be, may be found in Article 4 of the Treaty of Turin of March 16th, 1816—was the necessity of ensuring the food supply of Geneva which was encircled and moreover unable, on account of Cantonal customs, to obtain its food supply in Switzerland. To-day the position is quite different. During the negotiations of 1931, M. Stucki, the leader of the Swiss delegation, stated in so many words:

"It is indeed beyond dispute that the inhabitants of the zones have one paramount interest, namely the opportunity to sell their produce to Geneva, and this interest is augmented by the fundamental changes which have taken place in the conditions which prevailed before the war. Owing to agricultural over-production, not only can Geneva dispense with the zone products, but it is in our interest to protect Swiss agriculture from the competition of the zones."

And further on :

"The question of the food supply has for the moment ceased to be of practical importance, as Switzerland is in a position to feed Geneva."

Thus, on the admission of the Swiss Government itself, the paramount reason which, in 1815 and 1816, led to the withdrawal of the French and Sardinian customs lines no longer exists; the position is reversed, since Geneva no longer needs zones' products for its food supply. The essential reason for the institution of the free zones having disappeared, should it not be inferred that the substance of the stipulations which created them has been undermined?

The food supply of Geneva has been rendered possible by the abolition of the Cantonal customs in 1849. The latter, moreover, produced another change: originally, the zones market was free to Geneva products alone; henceforth, products from the whole of Switzerland and even from other countries passing through Swiss territory in transit were in a position to enter the zones unimpeded. That is not the situation which was invoked in 1815 and which actuated the withdrawal of the customs line solely in favour of Geneva.

As regards the establishment of the Federal customs at that period, it reversed the situation also in other respects: henceforth the zones were enclosed between two customs barriers; they no longer found the free outlet in the Geneva market which they had had for thirty-five years for their natural or manufactured products and, further, the outlet for these products was impeded by the necessity of having to pass through the French customs cordon situated in the interior of the country. The abolition of commercial freedom between the zones and Geneva thus constituted a radical

deviation from the situation of 1815-1816 which the treaties certainly had in mind when they constituted an economic unit of the regions adjacent to Switzerland and facing that country, which was a free market for zones products, by withdrawing the French customs cordon and ensuring the free entry of zones products into the Canton of Geneva.

Lastly, it has never been disputed that the zones were established in order to disencircle the territory of Geneva. Can we to-day reasonably speak of encirclement when means of communication, roads and railways, and methods of transport have developed to a stage of perfection which could not possibly have been foreseen one hundred and fifteen years ago?

All these considerations apply to all three zones, quite apart from the very special position which once obtained for Saint-Gingolph but which also has disappeared. The reasons which led to their establishment at the beginning of the last century have therefore entirely ceased to exist. Nevertheless, this relic of another age is to subsist, without any appreciable advantage to Geneva and to Switzerland, although, on the contrary, it is calculated to entail the gravest difficulties for the populations of the neighbouring territories.

IV.—After having given the Court the power to settle, for a period to be fixed and having regard to present conditions, all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles, i.e. after having, in short, asked it to frame a customs and economic régime—the Parties themselves had failed to frame one—which was to be adapted to the present situation of Geneva and the zones, Article 2 of the Special Agreement, in paragraph 2, singled out one of these questions for special treatment. I refer to the import of goods free or at reduced rates through the Federal customs barrier or through the French customs barrier, the regulation of which, says the Special Agreement, shall only be made with the consent of the two Parties.

This provision, it may well be admitted, has been the stumbling block which ultimately caused the Court to fail in the task upon which it embarked in order to comply with

the Special Agreement. Nevertheless, the purport of the provision is clear: its only aim was to ensure in both countries respect for the prerogatives of Parliament, which is entitled to say the last word on questions of customs tariffs.

But the Court saw in this provision a means whereby the Party which might possibly be dissatisfied with the future judgment could render its execution nugatory, and it considered that such a result would be both damaging to its prestige and incompatible with the binding force attached to its judgments by Article 59 of its Statute. After having decided in principle that the zones should be maintained, it invited the Parties, in 1930, to come to an agreement upon the matter of importations free of duty or at reduced rates across the Federal customs line and, since this agreement preceding the judgment was not realized, it has decided merely to lay down that some provision on this point should be contemplated: it had said that Switzerland should grant zones' inhabitants in respect of their products freedom from duty or reduction of rates across the Federal customs line, but it has stated that it cannot define the extent and terms of these exemptions and, in spite of the failure of the preceding negotiations, it has left it to the Parties to organize a customs régime as they see fit. The Court has thus refused to fulfil the most important part of its task.

The result is all the more regrettable because it might perhaps have been avoided. It appears that the judgment, after fixing either immediately, or after considering the results of an expert enquiry, the extent and conditions of the exemptions, might have reserved, in order to comply with paragraph 2 of Article 2 of the Special Agreement, the consent of the two Parties, while giving a definitive and final ruling upon the position which would ensue for both Parties in the event of refusal of consent either by the Party in whose favour the exemptions were established or by the Party which was required to concede these exemptions. In other words, the Court, after having completed the whole of its task, would have decided that if Switzerland did not grant exemptions in accordance with the strict terms of the judgment, the customs cordon would be maintained at the political frontier, and that if, on the other hand, France did not accept them, she would have

to withdraw her customs cordon to the rear and would be unable to claim in the form of exemptions or importations at reduced rates any compensation under the judgment.

This device, which is somewhat similar to the doctrine of *astreinte comminatoire* in French law, did not prevail, and the Court refused to draw up a régime of total or partial exemptions. In stating that it was incapable of regulating this matter, which the Parties regarded as essential, it would seem that the Court ought in consequence to have declared itself incompetent to give a decision on the other parts of the dispute, since the Special Agreement, which brought the matter before it, formed an indivisible whole and made it incumbent on the Court, following a rule which it has itself frequently asserted, to give a decision upon the whole of the dispute or to give no decision at all.

V.—The Court has, however, retained its cognizance of the other questions which were submitted to it, or which it has had under consideration, and to justify this course, it has taken the view that France has no ground for complaint, since it is the Special Agreement itself which, by making the regulation of customs exemptions conditional upon the assent of the Parties, has prevented the Court from deciding on this point. This reasoning is far from satisfying me, since it throws on one Party the entire responsibility for having inserted a clause, incapable of execution, in the Special Agreement, which clause, moreover, according to the terms of the judgment itself, is “outside the sphere of a Court of Justice”, and it makes France alone suffer the injurious effects of its insertion. It was not France alone that included the provision of paragraph 2 of Article 2 in the Special Agreement; Switzerland has an equal share in the responsibility. The fault was common to both Parties and the consequences should fall equally on both Governments. The Court should have declared that it was incompetent in respect of the whole, and dismissed both the Parties on equal terms, leaving them free, if they thought fit, to submit a new Special Agreement, all the clauses of which would, this time, be capable of execution.

It is true that the Swiss Government had announced, during the proceedings before the Court, that it was prepared to ratify, in advance, such measures as the Court might see fit to adopt in regard to imports free of duty, or at reduced rates; and the inference was that the said Government had, so far as lay in its power, enabled the Court to discharge its mission, and that the French Government had only itself to blame for not having given its assent in advance to a settlement of this kind. No doubt the Federal Decree approving the Special Agreement concluded on October 30th, 1924, has invested the Federal Council with the necessary powers to settle, if circumstances so require, the questions referred to in Article 2, paragraph 2, of the Special Agreement. But no such powers were conferred upon the French Government. Switzerland never asked that this should be done; on the contrary, in signing Article 2, paragraph 2, of the Special Agreement, she consented to the French Parliament retaining its sovereign right, in accordance with the French constitutional law, to pass upon any questions of imports free of duty or at reduced rates. Switzerland could not in fairness claim to benefit by a situation to which she had freely assented, or to obtain, by a round-about method, the withdrawal of the Customs cordon to the interior of the territory, without being herself under any obligation to render her own customs line permeable to zone products.

I am quite aware that the Swiss Government has declared its readiness to negotiate with the French Government, through the intermediary of three experts, with a view to regulating, in a manner more appropriate to the economic conditions of the present day, the terms of the exchange of goods between the regions in question, and that the Court has placed this declaration on record. But it is open to question whether this declaration is binding upon Switzerland. Here it is no longer a question of regulating, in practice, a scheme of exemptions, such as the Court might decide upon in execution of Article 2, paragraph 2, of the Special Agreement; the judgment has not elaborated any such scheme, and the Special Agreement has now ceased its effects. The whole judicial procedure is terminated, and it will be necessary, as the Agent of the Swiss Government has

himself pointed out, to find some way of making enforceable in practice the undertaking assumed by Switzerland in her note of May 5th, 1919, annexed to Article 435 of the Treaty of Versailles; the judgment does not attribute any binding character to this undertaking, and, according to the Swiss declaration, such binding character would only attach to the regulation which the experts might draw up. It would therefore be a new extra-judicial convention, which, as it would only come into being after the dispute had been settled and the Court had finally relinquished cognizance of the case, would necessarily have to be submitted to the Federal Assembly and to a popular referendum, if its duration was to be for more than fifteen years. The Swiss people might reject it once again and France, having established her customs line in the position prescribed by the organic provisions constituting the zones, would risk failing to obtain any of the compensations to which she is entitled, as Switzerland herself admits. The fact that the Swiss declaration was placed on record accordingly does not afford France any effective guarantee.

VI.—It is in this respect that the situation in which France is placed by the judgment is most peculiarly open to criticism. By including the provision of Article 435, paragraph 2, in the Treaty of Versailles, the signatory Powers intended, beyond all question, to obtain for France the abolition of the zones, because, in their opinion, the existence of the zones was no longer consistent with present conditions; the Swiss Government, though not agreeing to such a radical measure, yet being fully conscious that the change in circumstances which had taken place prior to the Treaty of Versailles—and for which Switzerland herself was largely responsible, owing to the establishment of the Federal Customs—obliged her to adopt such an attitude, declared herself ready, in her note of May 5th, 1919, and in the long series of diplomatic conversations which followed it, to negotiate with France with a view to providing the zones territories with a more stable and more liberal régime than that which resulted from the Convention of June 14th, 1881, the Regulation of October 20th, 1906, and the Federal Decree of June 19th, 1908.

The Parties agreed and, on August 7th, 1921, concluded a Convention which regulated the commercial and neighbourly relations between the old free zones and the adjacent Swiss cantons, and which abolished the zones. Unfortunately, the Swiss people rejected the Convention in the referendum, and both Governments, inspired throughout by the same conciliatory spirit, submitted their dispute to the Permanent Court of International Justice, asking it to decide between them on a question of law but also to frame on their behalf and in their stead the new customs régime which they both acknowledged to be necessary and just, but which they themselves had been unable to establish by joint agreement.

The Court has fulfilled only a part of its task, it has settled the question of law, it has further decided that the French customs line shall be withdrawn to the rear; but it has declared that, in view of the terms of the Special Agreement, it is unable to fix the matter of importations free of duty or at reduced rates across the Federal customs line, and it does not secure for France the counterpart to which it nevertheless acknowledges the latter is entitled.

No doubt, it expresses the opinion that Switzerland must accord economic advantages to the zones inhabitants, and it anticipates some provision for importation free of duty or at reduced rates across the Federal customs line. But what practical value can such a provision have in the matter? A judgment is not executory when it merely expresses an opinion in its statement of reasons and contemplates some provision in its operative portion. What the Parties expected of the Court and what it was just and fair that France should obtain was a concrete system of exemptions, more extensive, more stable and more liberal, such as Switzerland had declared her willingness to accord. No such system is provided by the judgment: the latter once more recommends the Parties to negotiate, as if the two experiments, one in 1930 and the other in 1931, had not sufficiently proved that on that basis the two neighbouring peoples cannot agree. In eighteen months time, the customs line is to be withdrawn: the inhabitants of the zones, faced with the customs barrier which the Federal Government erected in 1849, in disregard, if not of their strict rights, at least of a *de facto* situation which had existed for

thirty-five years, will be unable to dispose of their products and, embarrassed by the customs which will be established in the interior of the country, they will be liable to be ruined. If no arrangement intervenes, it is to be feared that at both frontiers, especially in regard to traffic, a régime of mutual annoyance may be set up, which would be prejudicial to friendly relations and make trade difficult.

No doubt the strict law will have been observed, but did the Parties ask the Court to ensure, at any cost, the rigorous respect for the law regardless of expediency? It was an Arbitration Agreement which France and Switzerland concluded on October 30th, 1924; the idea of adapting the régime to present conditions is uppermost in this Agreement. Both Parties had asked the Court to send one or three of its members to investigate on the spot, and their purpose in doing so was certainly not to elucidate a question of law, but, as the Special Agreement says, to carry out investigations on the régime to be established and to hear the interested Parties. Lastly, Article 38 of its Statute empowers the Court, either by itself or with the assistance of experts, to decide all these questions *ex æquo et bono*, i.e. to play the part of an arbitrator in order to reach the solution which, in the light of present conditions, appeared to be the best, even if that solution required the abolition of the zones.

The Court has taken a different view of its task; it has settled the dispute only in part, guided solely by the rules of *summum jus*, and it has left the two Governments face to face, without imposing on them, on an essential point, the settlement which it nevertheless considered necessary to the economic life of the zones. That is a result which is little calculated to maintain harmony between the Parties: it is all the more regrettable since arbitration on a wide basis would have sufficed to avoid it.

(Signed) EUGÈNE DREYFUS.